Self-examination questions

I Multiple choice questions

Choose the correct answer

1. Cash book is a
   (a) Subsidiary book (b) Principal book
   (c) Journal proper (d) Both subsidiary book and principal book

2. The cash book records
   (a) All cash receipts (b) All cash payments
   (c) Both (a) and(b) (d) All credit transactions

3. When a firm maintains a simple cash book, it need not maintain
   (a) Sales account in the ledger (b) Purchases account in the ledger
   (c) Capital account in the ledger (d) Cash account in the ledger

4. A cash book with discount, cash and bank column is called
   (a) Simple cash book (b) Double column cash book
   (c) Three column cash book (d) Petty cash book

5. In Triple column cash book, the balance of bank overdraft brought forward will appear in
   (a) Cash column debit side (b) Cash column credit side
   (c) Bank column debit side (d) Bank column credit side

6. Which of the following is recorded as contra entry?
   (a) Withdrew cash from bank for personal use
   (b) Withdrew cash from bank for office use
   (c) Direct payment by the customer in the bank account of the business
   (d) When bank charges interest

7. If the debit and credit aspects of a transaction are recorded in the cash book, it is
   (a) Contra entry (b) Compound entry
   (c) Single entry (d) Simple entry

8. The balance in the petty cash book is
   (a) An expense (b) A profit
   (c) An asset (d) A liability

9. Petty cash may be used to pay
   (a) The expenses relating to postage and conveyance
   (b) Salary to the Manager
   (c) Purchase of furniture and fixtures
   (d) Purchase of raw materials

Accountancy - Unit-07.indd 145 12/12/2021 6:16:33 PM